## Question #1 of 34

Question ID: 1675776

Will Lambert, CFA, is a financial analyst for Offshore Investments. He is preparing a purchase recommendation on Burch Corporation. According to CFA Institute Standards of Professional Conduct, which of the following relationships with Burch is Lambert *least likely* required to disclose?

**A)** He has a material beneficial ownership of Burch through a family trust.

**B)** His wife owns 2,000 shares of Burch.

**C)** His son-in-law was formerly employed by Burch.

---

## Question #2 of 34

Question ID: 1675779

Dwight Dawson, a CFA charterholder and portfolio manager at Ascott Investments, was recently appointed to the investments committee at Brightwood College. He will receive no compensation from Brightwood for serving on this committee. Another person at Ascott manages part of Brightwood's endowment. Dawson does not inform Ascott's compliance officer of his involvement with Brightwood, because he does not believe doing so is necessary.

Brenda Hamilton, a CFA candidate, also works for Ascott as an investment analyst. Procedures established at Ascott prohibit personal trading in securities analyzed or recommended by Ascott. One of these securities is Horizon, a telecommunications firm. Hamilton buys 10 shares of Horizon for her infant son's trust account. She believes that reporting this purchase to Ascott's compliance officer is unnecessary because the amount of the transaction is small and is not for her own personal account.

Did Dawson's or Hamilton's actions violate CFA Institute Standards of Professional Conduct?

**A)** Dawson: Yes; Hamilton: Yes.

**B)** Dawson: No; Hamilton: Yes.

**C)** Dawson: No; Hamilton: No.

---

## Question #3 of 34

Question ID: 1675772

Steve Copper has worked as an independent consultant for the past 10 years advising companies on various ways to increase their internal efficiency, and thereby, increase the firm's stock price as well. Copper recently accepted a job offer from an equity research firm as a senior stock analyst. One of the firms he will be responsible for researching, Johnson Machine Tools (JMT), is also one of his consulting clients. Copper currently has a contract with JMT to provide consulting services for another six months, which he plans to honor even though there are no penalties in the contract for early termination on his part. According to CFA Institute Standards of Professional Conduct, which of the following is the *most appropriate* action for Copper to take? Copper should:

**A)** terminate the contract with JMT before issuing any research on the company.

**B)** disclose the arrangement only if he plans to renew the contract in six months.

**C)** disclose the consulting arrangement to clients considering JMT as an investment.

---

## Question #4 of 34

Question ID: 1675781

Ray Stone, CFA, follows the Amity Paving Company for his employer, Rubbell Securities. Which of the following scenarios is Stone *least likely* to have to disclose?

**A)** Rubbell's broker-dealer relationship with Amity.

**B)** Stone's ownership of Amity securities.

**C)** The fact that Stone's son worked at Amity as a laborer during the summer while in school.

---

## Question #5 of 34

Question ID: 1675792

Jim Bennett, CFA, leases office space to his best friend, Steve Waters. Bennett is an independent investment advisor specializing in high-net-worth clients, and Waters is a licensed life insurance underwriter. In lieu of paying rent, Waters refers his insurance clients to Bennett, but only with the clients' permission. For clients referred by Waters, Bennett:

**A)** must disclose the terms of the lease arrangement.

**B)** need not disclose the terms of the lease arrangement because Waters obtained the clients' permission for the referral.

**C)** need not disclose the referral fee if Waters discloses the lease arrangement to the clients first.

---

## Question #6 of 34

Question ID: 1675786

Andy Rock, CFA, is an analyst at Best Trade Co. The company is going to announce a sell recommendation on Biomed stock in one hour. Rock was a member of the team who reached the decision on Biomed. Rock's wife has an account at Best Trade Co. that contains Biomed stock. According to the Code and Standards, trading on Rock's wife's account can begin:

**A)** as soon as the information is disseminated to all clients.

**B)** only after the recommendation is announced to the general public.

**C)** only after Rock, as a beneficial owner, has given an appropriate amount of time for clients and his employer to act.

---

## Question #7 of 34

Question ID: 1675785

Standard VI(B): Priority of Transactions applies to transactions that an analyst takes on behalf of:

**A)** his clients.

**B)** his clients and his employer.

**C)** his employer.

---

## Question #8 of 34

Question ID: 1675782

Lee Hurst, CFA, is an equity research analyst for a long-term investment fund. His annual bonus is linked to quarterly trading profits. Under a new policy, the quarterly assessment period is switched to a monthly assessment period. According to the Code and Standards, best practices dictate:

**A)** updating disclosures when the policy change is implemented.

**B)** requiring Hurst to obtain permission from each client before implementing the new policy.

**C)** keeping the policy change private as a trade secret.

---

## Question #9 of 34

Question ID: 1675790

An analyst, who is a CFA Institute member, manages a high-grade bond mutual fund. This is his only professional responsibility. When the analyst comes across a speculative stock investment that he feels is a good investment for his personal portfolio, the analyst:

**A)** may invest in the stock because the analyst would not purchase the stock for the bond portfolio he manages.

**B)** must notify his supervisor about the stock according to Standard VI(B): Priority of Transactions to see if it is appropriate for the portfolio that he manages.

**C)** is in violation of Standard IV(A): Loyalty to Employer by spending time analyzing stocks when he should only analyze bonds.

---

## Question #10 of 34

Question ID: 1675774

The following scenarios involve two analysts at Dupree Asset Management, a small New York-based company with about $150 million in assets under management. Dupree restricts personal trading of stocks analyzed, corporate directorships, trustee positions, and other special relationships that could reasonably be considered a conflict of interest with their responsibilities to their employer:

- Ray Bolt, CFA, is a senior investment analyst. Bolt was recently elected to the board of trustees of his alma mater, Midwest University, and was appointed as the chairman of the university's endowment committee. Midwest has more than $2 billion in its endowment. Bolt must travel from New York to Chicago eight times a year to attend meetings of the board of trustees and endowment committee. Bolt did not inform Dupree of his involvement with Midwest University.
- Wanda Delvecco, a candidate in the CFA Program, is a junior investment analyst. She recently wrote a research report on Aveco Communications and recommended the stock for Dupree's buy list. Delvecco bought 200 shares of Aveco stock for her personal account 12 months before she wrote her research report. Over the past 12 months, the stock's price has been in the $20–$42 price range. Delvecco has not informed Dupree of her ownership of Aveco stock.

According to CFA Institute Standards of Professional Conduct, which the following statements about Bolt's and Delvecco's actions is correct?

**A)** Neither Bolt nor Delvecco violated the Standards.

**B)** Both Bolt and Delvecco violated the Standards.

**C)** Delvecco violated the Standards, but Bolt did not.

---

## Question #11 of 34

Question ID: 1675773

Ryan Brown, CFA, is an analyst with a large insurance company. His personal portfolio includes a significant investment in QRS common stock that his firm does not currently follow. The director of the research department asked Brown to analyze QRS and write a report about its investment potential. Based on CFA Institute Standards of Professional Conduct, Brown is required to:

**A)** sell his shares of QRS before completing the report.

**B)** disclose the ownership of the stock to his employer and in the report.

**C)** decline to write the report without specific approval of his supervisor.

---

## Question #12 of 34

Question ID: 1675778

Bill Valley has been working for Advisors, Inc., for several years, and he just joined CFA Institute. Valley routinely writes research reports on pharmaceutical firms. Valley has recently been asked to serve on the board of directors of an organization that promotes the search for a cure of a certain cancer. Serving on the board is an unpaid position without any direct benefits other than meeting new people and potential clients. To comply with Standard VI: Disclosure of Conflicts, Valley needs to:

**A)** both disclose the position on the board to his supervisor and describe his responsibilities on the board.

**B)** only disclose the position on the board to his supervisor.

**C)** do nothing.

---

## Question #13 of 34

Question ID: 1675775

Phil Trobb, CFA, is preparing a purchase recommendation on Aneas Lumber for his research firm. All of the following are potential conflicts of interest except:

**A)** Trobb's research firm has a large stake of ownership in Aneas Lumber.

**B)** Trobb's cousin repairs machines for Aneas Lumber.

**C)** Aneas hires Trobb as a consultant to analyze the financial statements of Aneas Lumber.

---

## Question #14 of 34

Question ID: 1675797

A member or candidate who receives consideration from others for the recommendation of products or services must disclose the estimated dollar value of the consideration paid in:

**A)** cash only.

**B)** cash or soft dollars.

**C)** cash, soft dollars, or in kind.

---

## Question #15 of 34

Question ID: 1675799

Joe James, CAIA, CPA, is a Level II CFA candidate living in Boston. In the course of his accounting practice, James often refers clients to a local law firm specializing in estate planning. James does not violate client confidentiality and does not receive compensation for the referral. However, the law firm often gives James tickets to the theater and major sporting events.

Which of the following statements regarding disclosure is correct? James:

**A)** need not disclose the benefits received for referring clients because the clients were developed in the course of his accounting practice.

**B)** need not disclose the benefits received for referring clients because no compensation is received.

**C)** must disclose the benefits received for referring clients to the law firm.

---

## Question #16 of 34

Question ID: 1675789

An analyst routinely has the opportunity to offer his clients the opportunity to purchase "hot new issues." He tells his clients that he will distribute each issue equally among those interested, with himself included in the distribution. The clients do not object to this. With respect to Standard VI(B): Priority of Transactions, this:

**A)** cannot be a violation because the clients know of the practice and agree.

**B)** may be a violation, despite the clients' approval.

**C)** may be a violation because it is impossible to distribute hot new issues equally.

---

## Question #17 of 34

Question ID: 1675796

Which of the following statements about Standard VI(C): Referral Fees is correct?

**A)** Referral fees must be disclosed before proceeding with an agreement for service.

**B)** Referral fees must be disclosed after proceeding with an agreement for service.

**C)** Referral fees may be disclosed before or after proceeding with an agreement for service.

## Question #18 of 34

Question ID: 1675795

An analyst who is a member of CFA Institute has composed an introductory information packet for her new clients, which includes information on fees she receives for referring clients to other professionals and those she pays for having clients referred to her. With respect to Standard VI(C): Referral Fees, this action:

**A)** exceeds the requirement of the Standard because she does not need to reveal the fees she pays to those who refer clients to her.

**B)** is not addressed in the Standard.

**C)** may not satisfy the Standard if such information is only provided after the receivers of the information have become clients.

## Question #19 of 34

Question ID: 1675780

Arthur Harrow, CFA, is a pharmaceuticals analyst at Dominion Asset Management (Dominion). His supervisor directs him to prepare separate research reports on Miracle Drug Company (Miracle) and Wonder Drug Company (Wonder). Harrow serves on the board of Miracle and owns 2,000 shares of Wonder, which is currently trading at $25 per share. According to CFA Institute Standards of Professional Conduct, which of the following actions, if any, is Harrow required to take if he writes the research reports?

**A)** Harrow must disclose to Dominion his relationship with Miracle, but not his ownership of shares in Wonder.

**B)** Harrow must disclose to Dominion both his relationship with Miracle and his ownership of shares in Wonder.

**C)** Harrow must disclose to Dominion his ownership of shares in Wonder, but not his relationship with Miracle.

## Question #20 of 34

Question ID: 1675791

Lance Tuipulotu, CFA, is a portfolio manager for an investment advisory firm. He plans to sell 10,000 shares of Park N' Wreck, Inc., to finance his daughter's new restaurant venture, but his firm recently upgraded the stock to a strong buy. To remain in compliance with Standard VI(B): Priority of Transactions, Tuipulotu must:

**A)** not sell the shares of Park N' Wreck.

**B)** notify his firm of his intention to sell the shares before selling the shares.

**C)** delay selling the shares until a firm client makes an offsetting purchase to avoid having a market impact.

---

## Question #21 of 34

Question ID: 1675784

A firm produces regular proprietary research reports on various companies. According to Standard VI(B): Priority of Transactions, which of the following would be an "access person"?

**A)** An independent auditor with access to material, nonpublic information on a company being analyzed.

**B)** A person working in the mail room.

**C)** A supervisory analyst who reviews all research reports before dissemination.

---

## Question #22 of 34

Question ID: 1675787

An analyst has the opportunity to offer his clients shares in a "hot new issue." One of the analyst's clients is his brother. When the new issue comes out, for those clients he deems it would be appropriate, he offers them an equal share. He includes his brother in that group. With respect to Standard VI(B): Priority of Transactions, this is:

**A)** congruent with the Standard as long as he does not have a direct personal interest in his brother's account.

**B)** congruent with the Standard, even if he has a direct personal interest in his brother's account.

**C)** congruent with the Standard if his brother is not a "covered person."

---

## Question #23 of 34

Question ID: 1675798

Standard VI(C): Referral Fees is applicable to:

**A)** all consideration received or paid for the recommendation of products or services.

**B)** only consideration paid in soft dollars for the recommendation of products or services.

**C)** only cash consideration received for the recommendation of products or services.

---

## Question #24 of 34

Question ID: 1675793

Wes Smith, CFA, refers many of his clients to Bill Towers, CPA, for accounting services. In return, Towers performs routine services for Smith, such as his tax returns, for no charge. With respect to this relationship, Smith:

**A)** is only in violation of Standard III(B): Fair Dealing, by not putting the client first.

**B)** is in violation of both Standard V(B) and III(B).

**C)** must disclose to his clients that Towers provides services for Smith's personal benefit.

---

## Question #25 of 34

Question ID: 1675783

An analyst likes to trade options in her own account. She does not deem any of her client accounts suitable for option trading. When she finds a favorable options position, in accordance with Standard VI(B): Priority of Transactions, she should:

**A)** act on it on her own behalf as she sees fit.

**B)** first tell her clients about it before acting herself.

**C)** refrain from acting until she notifies her supervisor.

---

## Question #26 of 34

Question ID: 1675794

Wes Smith, CFA, refers many of his clients to Bill Towers, CPA, for accounting services. In return, Towers performs routine services for Smith, such as his tax returns, for no charge. Towers has just become a member of CFA Institute. With this development, Towers must:

**A)** reveal to the prospects referred by Smith that he performs services for Smith, along with the estimated value of those services.

**B)** only reveal to the prospects referred by Smith that he performs services for Smith.

**C)** discontinue his services for Smith.

---

Tucson Financial Advisors (TFA) has determined that it needs to have the ability to conduct in-house research to support its other activities. To this end, TFA has recently hired Alba Hernandez, a CFA charterholder in good standing, as an investment analyst. Hernandez becomes the first full-time employee of TFA to have the CFA designation. When she is hired, her supervisor tells her that TFA is familiar with the CFA Institute Code and Standards, but that the company does not feel that they are important. TFA is a well-respected firm with a reputation for integrity that predates the CFA program. TFA tells her that they do not plan to use Hernandez's affiliation with CFA Institute in any of their literature or advertisements.

Before her employment with TFA, Hernandez was an independent contractor, providing financial advice for a fee to private clients. She continues to do so but has informed these clients not to reveal this fact to TFA. Some of her private clients would be considered viable prospects by TFA, while others would not meet TFA's $1 million net worth criterion. Hernandez routinely uses TFA's data and other research materials in servicing her private clients.

Throughout the year, Hernandez holds a "quarterly investment forum" under the guidance of TFA. Prospects find out about the meetings via private mailings from TFA, which Hernandez supervises. In composing the mailing list, Hernandez is aware that many of the clients do not meet TFA's $1 million net worth criterion. After each forum, Hernandez often contacts those attendees that do not meet TFA's criterion, and she solicits them to become clients in her private practice.

ChemMex is a large conglomerate headquartered in Monterrey, Mexico. At present, ChemMex is planning an IPO in the United States. TFA is seeking the mandate for the IPO and has asked Hernandez to meet with management to present a proposal. Hernandez's uncle, Hector Lopez, is CFO and treasurer of ChemMex. In recent years, Lopez has given ChemMex securities to his nieces and nephews as Christmas gifts. TFA is not aware of Hernandez's financial interests and personal connections with ChemMex.

Hernandez is putting together a research report on CoppOre, a firm that mines copper in a developing country. She obtains insider information that states a rival firm in that country

will soon make a tender offer for CoppOre. Hernandez knows the laws in that country very well and knows that trading on inside information is not illegal there. Hernandez plans to write the research report exaggerating the facts on positive points to encourage her clients to purchase shares in CoppOre, but she does not plan to explicitly say that CoppOre will soon be bought out in a tender offer. In doing so, the clients will be encouraged to buy CoppOre stock while not knowing about the tender offer. Hernandez feels that this is part of her fiduciary duty and explains her plan to TFA management. The managers of TFA tell her to do what she thinks is in the best interest of the clients.

## Question #27 - 32 of 34

Question ID: 1675766

Concerning her private clients, Hernandez must:

**A)** discontinue her independent practice.

**B)** obtain written consent from TFA to continue the relationship.

**C)** obtain written consent from TFA only if the private practice was not disclosed orally during the hiring process.

---

## Question #28 - 32 of 34

Question ID: 1675767

With respect to the prospects she invites to the "quarterly investment forum" and then solicits for her private practice, Hernandez is:

**A)** in violation of Standard I(D) concerning professional misconduct.

**B)** not in violation of any Code or Standard.

**C)** in violation of Standard VI(A) concerning disclosure of conflicts.

---

## Question #29 - 32 of 34

Question ID: 1675768

With respect to the proposal for the IPO mandate of ChemMex, Hernandez:

**A)** is not allowed to meet with ChemMex officials.

**B)** may meet with ChemMex officials and be involved with the IPO, as long as she discloses the material facts of the situation to TFA.

**C)** may meet with ChemMex officials, but cannot be otherwise involved with the IPO.

---

## Question #30 - 32 of 34

Question ID: 1675769

With respect to the recommendation that Hernandez writes for CoppOre, Hernandez may:

**A)** proceed with the recommendation as long as she does not exaggerate facts and mention the tender offer, but she does not have to make an effort to achieve public dissemination of the tender offer.

**B)** proceed with the recommendation as long as she does not exaggerate facts and mention the tender offer, but she must make an effort to achieve public dissemination of the tender offer.

**C)** not proceed with the recommendation with either the exaggerated information or the information of the tender offer.

---

## Question #31 - 32 of 34

Question ID: 1675770

All of the following are violations of the Code and Standards except:

**A)** Hernandez using TFA data and research for her private practice.

**B)** Hernandez not informing TFA of her private practice and getting written permission for it.

**C)** TFA's management not making any special effort to include Hernandez's holding the CFA designation in their literature and advertisements.

---

## Question #32 - 32 of 34

Question ID: 1675771

Upon her arrival at TFA, as a CFA charterholder, Hernandez is:

**A)** not required to deliver a copy of the Code and Standards to her employer.

**B)** only required to provide her employer with written notification of her obligation to comply because she has been told her supervisors are aware of the Code and Standards.

**C)** required to deliver a copy of the Code and Standards to her employer and provide the employer with written notification of her obligation to comply.

---

## Question #33 of 34

Question ID: 1675788

An analyst has a large personal holding of a security, and he has just determined that market conditions warrant selling this security. The analyst contacts clients who have a position in the security and advises them to sell some or all of the security. After waiting 24 hours, he sells the security from his personal accounts. This is:

**A)** congruent with Standard VI(B): Priority of Transactions.

**B)** a violation of Standard III(B): Fair Dealing.

**C)** a violation of Standard VI(B): Priority of Transactions.

---

## Question #34 of 34

Question ID: 1675777

When an analyst makes an investment recommendation, which of the following statements *must* be disclosed to clients?

**A)** An employee of the firm holds a directorship with the recommended company.

**B)** The firm is a market maker in the stock of the recommended company.

**C)** Both of these statements must be disclosed to clients.